



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL

General Certificate of Education Advanced Level

ACCOUNTING

PAPER 3 Problem Solving

6001/3

2 hours 30 minutes

NOVEMBER 2024 SESSION

Additional materials:
Answer booklet
Calculator

INSTRUCTIONS TO CANDIDATES

Write your name, Centre number and candidate number in the spaces provided on the answer booklet.

Answer **all** questions.

Write your answers on the separate answer booklet provided.

If you use more than one booklet, fasten them together.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

All workings should be shown.

The businesses in this question paper are intended to be fictitious.

This question paper consists of 7 printed pages.

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Answer all questions

- 1 The directors of Topple Ltd provided the following information at 31 March 2020.

Trial balance as at 31 March 2020

	DR \$	CR \$
Purchases and revenue	710 000	1 450 000
Returns	15 000	34 700
Inventory: 1 April 2019	80 000	
Rent receivable		29 000
Issued ordinary shares of \$1 each		550 000
Issued 6% non-redeemable preference shares of \$1 each		300 000
10% bank loan (repayable 2026)		120 000
Property at cost	510 000	
Delivery vehicles at cost	350 000	
Office equipment at cost	285 000	
Provision for depreciation:		
Delivery vehicles		87 500
Office equipment		42 750
Retained earnings: 1 April 2019		68 200
General reserve		51 600
Share premium		98 000
Trade receivables and payables	69 700	41 300
Salaries	72 200	
Cash and cash equivalents	363 700	
Other administration expenses	226 450	
Selling and distribution costs	108 500	
Loan interest	6 000	
Interim dividends paid:		
Preference	24 000	
Ordinary	52 500	
	<u>2 873 050</u>	<u>2 873 050</u>

Additional information:

- Inventory at 31 March 2020 was valued at a cost of \$70 000. However, its net realisable value was \$62 000.
- Prepaid selling and distribution costs amounted to \$24 200.
- Rent receivable owing was \$1 000.
- Salaries owing were \$ 2 000.
- Debts of \$1 700 are to be written off. It was decided to create an allowance for doubtful debts equal to 3% of net trade receivables.



- (vi) 100 000 \$1 ordinary shares were issued at a premium of 50% in March 2020.
- (vii) A transfer of \$60 000 is to be made to the general reserve.
- (viii) Depreciation is to be provided for as follows:
 Delivery vehicles, 25% per annum reducing balance method.
 Office equipment, 15% per annum on cost.
- (ix) A provision of \$18 000 for taxation is to be made.

\$00

Prepare:

- (a) (i) Statement of profit or loss (Income statement) for the year ended 31 March 2020. [13]
- (ii) Statement of changes in equity for the year ended 31 March 2020. [8]

Topple Ltd is considering changing the depreciation method for office equipment from the straight line method to the reducing balance method.

- (b) Suggest **two** possible reasons for considering this change. [2]
- (c) Suggest **two** benefits of work place employee counselling to the employer. [2]

- 2 Top Shop Ltd is a departmental store which specialises in clothing. It has two departments: Men's wear and Ladies' wear. The following information has been extracted from its books for the year ended 30 April 2018.

	Men's wear	Ladies wear
	\$000	\$000
Revenue	300	500
Purchases	90	160
Inventory: 1 May 2017	50	110
30 April 2018	65	90
Wages and salaries	10	15
Office equipment at cost	170	170

\$ 1,50

Other balances at 30 April 2018 were:

	\$000
Rent	110
Heating and lighting	95
Administration expenses	16
Delivery expenses	56
Depreciation of office equipment	24

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67 69 700
 = 1 700
 68 000

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Further information:

(i)

Expense	Basis of apportionment
Rent	Floor area
Heating and lighting	Floor area
Administration expenses	Equally
Delivery expenses	Revenue
Depreciation of office equipment	Cost of equipment

(ii) Floor area occupied:

Men's wear 60%

Ladies wear 40%

(iii) Rent accrued at the end of year amounted to \$10 000, and heating and lighting prepaid was \$15 000.

(iv) Closing inventory of Men's wear includes goods costing \$5 000 from a supplier on a sale or return basis. Top Shop Ltd has not yet decided whether or not to keep the goods. No invoice for these goods was received.

(v) Each departmental manager is entitled to a commission of 10% based on profits above \$50 000 after charging the commission. (Round off your commission to the nearest \$.)

(a) Prepare departmental statements of profit or loss (Income statements) for the year ended 30 April 2018. [15]

(b) Suggest any **three** ways that may be taken to make a department profitable. [3]

(c) Identify the circumstances in which a department should be closed. [3]

Business ethics play a very important role in the way a business conducts its operations.

(d) Suggest any **four** benefits of good business ethics. [4]



- 3 Downsize limited is a manufacturing company which operates four departments namely Machine shop, Assembly shop, Maintenance and Power house. Machine shop and Assembly shop are production departments while Maintenance and Power house are service departments. For the coming year of 2022 the budgeted overhead costs are as follows:

	Machine shop	Assembly shop	Maintenance department	Power house	Total
<u>Overhead costs</u>	\$	\$	\$	\$	\$
Indirect materials	40 000	60 000	24 000	16 000	140 000
Indirect labour	36 000	50 000	30 000	14 000	130 000
Rent and rates					36 800
Supervision					66 000
Plant depreciation					120 000
Lighting and heating					55 200
Insurance of plant					48 000

The following is a set of data relating to the physical and performance aspects of the company.

	Machine shop	Assembly shop	Maintenance department	Power house
Number of workers	50	100	25	25
Area (m ²)	750	1 250	250	50
Plant valuation (\$000)	280	200	80	40
Direct labour hours	8 000	12 000		
Machine hours	9 600	1 800		
Maintenance hours	7 500	2 000		
Units of power used	2 100	600	300	

- (a) Prepare an overhead analysis sheet for the departments clearly showing the basis of apportionment used. Reapportion service department costs to production departments using appropriate basis. (Round off figures to the nearest \$1). [11]



- (b) Calculate the overhead absorption rates for Machine shop and Assembly shop using machine hours and labour hours respectively. (Round off your answer to two decimal places). [4]

The following details relate to Job KDJ 0014:

	Machine shop	Assembly shop
Direct labour cost	\$5 000	\$16 000
Direct material cost	\$3 150	\$4 450
Direct labour hours	500	1 600
Machine hours	700	250
Labour rate per hour	\$10	\$10

The company's margin is 20%.

- (c) Calculate the selling price of Job KDJ0014. [6]
- (d) Explain what is meant by over and under absorption of overheads and show how each is treated in the accounts. [4]
- 4 J. Johns purchases and sells 'Super' scientific calculators. On 1 July 2019, he had 200 calculators valued at \$8,00 each. The following information on purchases and sales is provided by J. Johns for the month of July.

Date	Purchases (units)	Cost price / unit	Sales (units)	Selling price / unit
July 6	500	\$ 10		\$
10			350	15
13	400	12		
17			250	20
21	550	14		
23			400	25
25	300	16		
28			350	30

Operating expenses of \$10 000 were incurred during the month of July.

- (a) Using the perpetual inventory system, calculate J. Johns' closing inventory at 31 July using the :
- (i) First In, First Out (FIFO) method. [6]
- (ii) Average Cost (AVCO) method. [9]



(b) Calculate J. Johns' net profit for the month ending 31 July 2019 using.

(i) First In, First Out (FIFO) method.

(ii) Average Cost (AVCO) method.

[6]

J. John's values some of his inventory at cost and some at net realisable value.

(c) Explain the following terms:

[1]

(i) cost,

[1]

(ii) net realisable value.

IAS 8 deals with Accounting Policies, changes in Accounting estimates and errors.

(d) In relation to Prior Period Errors, how should any material error that relates to prior years be corrected?

[2]

Additional information

An impairment review was carried out and revealed that an item of machine with a carrying value of \$100 000 could be sold for \$65 000. Its value in use was \$70 000. The directors are uncertain how this should be treated in the financial statements.

- (d) What is the effect of the impairment review on the profit for the year and how much should be shown on the statement of financial position. [4]

3 The statements of financial position at 31 December 2017 and 2018 for Medals Limited are shown below:

	2018			2017		
	COST \$(000)	DEP \$(000)	NBV \$(000)	COST \$(000)	DEP \$(000)	NBV \$(000)
Non-current assets						
Land	1 500	-	1 500	1 200	-	1 200
Buildings	1 060	245	815	900	243	657
Vehicles	575	390	185	500	240	260
Machinery	<u>1 100</u>	<u>450</u>	<u>650</u>	<u>850</u>	<u>340</u>	<u>510</u>
	<u>4 235</u>	<u>1 085</u>	3 150	<u>3 450</u>	<u>823</u>	2 627
Current assets						
Inventory		470			400	
Trade receivables		280			200	
Cash and cash equivalents		<u>190</u>			-	
			<u>940</u>			<u>600</u>
			<u>4 090</u>			<u>3 227</u>
Equity and liabilities						
Ordinary shares of \$1 each			1 500			1 000
Share premium			660			500
Revaluation reserve			300			-
Retained profit			<u>1 265</u>			<u>1 199</u>
			3 725			2 699
Non-current liability						
8% loan stock			200			300
Current liabilities						
Trade payables		135			130	
Taxation		30			50	
Cash and cash equivalents		-			<u>48</u>	
			<u>165</u>			<u>228</u>
			<u>4 090</u>			<u>3 227</u>

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Additional information

1. Income statement extract for the year ended 31 December 2018.

	\$
Operating profit	156 000
Interest	<u>(28 000)</u>
	128 000
Tax for the year	<u>(30 000)</u>
Profit attributable to equity holders	<u>98 000</u>

2. There were no additions to or disposals of land during the year ended 31 December 2018. It was revalued upwards by \$300 000.
3. During the year ended 31 December 2018 buildings that had originally cost \$240 000 were sold for \$320 000 and a profit of \$101 000 was realised.
4. More buildings and machinery were bought during the year.
5. During the year ended 31 December 2018 vehicles with an original cost of \$75 000 were sold for \$12 000. The accumulated depreciation for the vehicles sold was \$58 000.
6. Loan stock was redeemed during the year.
7. A bonus issue of one ordinary share for every five held was made in May 2018. The share premium account was used for this purpose. A rights issue of one ordinary share for every four now held was made at a premium of \$1.20 per share in July 2018.
8. Ordinary share dividend paid during the year was \$32 000.
- (a) Prepare a statement of cash flows in accordance with IAS7. [23]
- (b) State four benefits of preparing statement of cash flows. [4]